T-12 OPERATING STATEMENT

Driftwood Self Storage | Tempe, AZ

Property	Driftwood Self Storage
Period Ending	August 28, 2019
Basis	Accrual - Trailing 12 Months
Prepared By	Lumen Residential Services
Size	740 storage units

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	63,001	60,179	60,516	62,855	65,346	62,559	67,170	60,044	65,900	67,174	59,620	68,142	762,506
4010 Loss to Lease	40,146	37,938	38,385	37,083	35,476	36,705	36,513	34,972	39,678	35,205	34,992	39,025	446,117
4020 Vacancy Loss	39,867	37,092	36,176	38,687	37,267	39,846	38,614	38,147	39,241	39,266	37,862	38,082	460,147
4030 Concessions	48,843	47,858	51,299	52,965	46,557	52,120	48,450	53,252	49,384	50,948	48,675	49,446	599,796
4040 Bad Debt	40,803	41,901	38,684	40,095	42,133	38,602	38,290	41,113	38,956	39,270	39,093	39,102	478,040
4050 Late Fees	24,026	25,892	25,648	24,096	25,648	24,150	24,672	24,115	23,721	25,587	26,332	25,917	299,806
4060 Utility Reimbursements	55,995	56,065	55,222	60,454	56,594	60,230	55,134	55,071	54,934	60,013	55,975	58,975	684,663
4070 Parking Income	39,695	37,096	35,653	38,794	36,269	38,503	36,279	35,455	36,440	39,360	39,267	38,628	451,440
4080 Application Fees	18,675	18,275	20,279	18,793	19,721	19,926	19,535	19,071	19,953	19,414	18,255	20,137	232,034
4090 Pet Rent	35,362	34,448	37,337	37,120	34,238	35,022	34,532	35,502	38,270	37,857	37,751	38,218	435,655
4100 Laundry Income	37,904	38,363	39,067	36,737	37,460	37,629	35,189	38,547	38,983	37,857	37,938	36,554	452,229
4110 Cable/Internet Revenue	12,318	11,578	12,226	12,279	11,006	11,784	12,153	11,810	11,520	11,857	11,898	11,431	141,863
4120 CAM Reimbursements	40,260	40,735	39,127	38,338	39,975	40,988	38,791	41,263	41,088	37,303	39,812	36,668	474,347
4130 Tax Reimbursements	31,230	32,263	35,098	33,286	32,950	32,551	32,497	34,794	35,519	32,756	35,279	32,856	401,079
4140 Insurance Reimbursemen	47,626	47,273	48,066	43,612	48,377	49,931	45,872	45,252	43,738	46,085	45,732	46,235	557,800
4150 Percentage Rent	13,422	13,618	14,478	14,748	14,243	14,040	13,896	14,486	14,241	13,803	13,389	13,972	168,337
4160 Misc. Income	27,441	27,680	25,119	28,170	26,874	28,830	27,232	28,809	26,296	26,156	27,459	27,962	328,029
4170 Payroll - Management	5,454	5,330	5,177	4,961	4,986	5,529	5,135	5,429	4,988	5,038	5,320	5,096	62,442
4180 Payroll - Leasing	6,725	7,374	6,659	7,269	7,458	7,035	7,117	7,237	6,731	7,072	7,228	6,825	84,730
4190 Payroll - Maintenance	2,307	2,284	2,179	2,065	2,369	2,243	2,211	2,348	2,149	2,105	2,294	2,185	26,739
4200 Payroll Taxes & Benefits	1,927	1,857	1,875	1,753	1,858	1,896	1,747	1,911	1,789	1,892	1,812	1,755	22,072
4210 Repairs - Plumbing	2,850	2,923	3,172	3,114	2,810	3,137	2,842	3,158	3,080	2,872	2,981	2,993	35,932
4220 Repairs - HVAC	4,195	4,174	4,559	4,402	4,114	4,308	4,556	4,250	4,478	4,398	4,559	4,002	51,995
4230 Repairs - Electrical	7,253	6,807	6,995	6,760	6,501	6,815	7,156	6,474	7,268	6,509	6,893	7,036	82,467
4240 Repairs - Appliances	6,524	6,240	6,325	6,328	5,871	6,388	6,113	6,649	6,387	6,202	6,283	6,049	75,359

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4460 Management Fee	3,296	3,130	3,500	3,448	3,562	3,531	3,235	3,512	3,134	3,217	3,340	3,439	40,344
4470 Property Insurance	7,748	7,495	7,266	7,188	7,329	8,079	7,501	7,148	7,493	7,632	8,078	7,537	90,496
4480 Real Estate Taxes	2,354	2,286	2,177	2,320	2,280	2,240	2,313	2,097	2,263	2,282	2,181	2,211	27,005
4490 Asset Management Fee	1,889	1,939	2,092	2,106	1,965	2,099	1,962	2,150	1,972	1,947	1,990	2,052	24,163
4500 Replacement Reserves	2,113	1,995	1,992	2,167	1,973	2,046	2,102	2,229	2,209	2,205	2,081	2,248	25,360
4510 Roof Repairs	6,294	5,941	6,266	6,219	6,370	6,165	6,331	6,006	6,511	6,591	6,041	6,165	74,901
4520 Parking Lot Repairs	3,720	4,142	3,755	4,126	4,142	4,207	3,935	3,933	3,761	3,941	3,740	3,872	47,273
4530 Signage	4,362	4,089	4,377	4,513	4,423	4,098	4,620	4,182	4,595	4,506	4,457	4,056	52,279
4540 Tenant Improvements	6,106	6,889	6,258	6,224	6,825	6,562	6,298	6,524	6,550	6,421	6,472	6,699	77,828
4550 Leasing Commissions	6,861	7,121	6,524	6,478	6,578	6,915	6,916	7,051	6,493	6,462	7,014	7,121	81,535
4000 Gross Potential Rent	61,760	67,490	63,181	63,062	64,190	63,058	67,870	64,375	67,862	66,622	62,206	65,877	777,553
4010 Loss to Lease	28,813	30,291	31,155	31,365	27,923	29,404	30,025	28,793	27,882	28,167	31,178	27,879	352,873
4020 Vacancy Loss	8,226	7,651	8,220	7,541	8,131	7,580	8,196	7,723	8,418	8,065	8,334	7,576	95,663
4030 Concessions	14,513	14,894	14,644	15,303	13,719	13,709	14,455	14,828	15,307	15,110	13,427	14,123	174,031
4040 Bad Debt	3,443	3,490	3,646	3,389	3,661	3,617	3,370	3,457	3,638	3,737	3,553	3,596	42,597
4050 Late Fees	979	981	995	980	1,045	942	1,000	1,051	998	1,048	946	1,036	12,001
4060 Utility Reimbursements	10,316	11,626	11,357	10,516	11,272	11,162	10,792	11,666	10,934	10,636	10,742	11,422	132,441
4070 Parking Income	35,912	33,697	37,114	36,891	35,767	37,288	34,530	33,998	35,178	34,856	34,861	35,966	426,058
4080 Application Fees	30,018	27,253	30,354	30,097	28,678	29,072	29,935	30,325	28,003	27,394	28,249	29,320	348,699
4090 Pet Rent	38,590	39,092	37,753	40,519	37,835	38,904	39,269	41,970	40,621	40,955	41,270	38,042	474,821
4100 Laundry Income	42,781	45,197	45,252	45,291	44,620	44,783	45,836	42,205	45,154	43,607	46,056	46,909	537,690
4110 Cable/Internet Revenue	28,196	27,075	26,820	29,595	29,107	29,498	29,359	29,971	28,634	27,006	29,128	30,007	344,395
4120 CAM Reimbursements	25,214	23,237	24,615	24,477	24,594	23,196	23,565	24,759	25,279	24,876	25,337	23,410	292,560
4130 Tax Reimbursements	44,506	42,688	47,004	47,316	46,858	47,684	45,422	43,012	42,419	45,995	45,182	45,389	543,474
4140 Insurance Reimbursemen	49,003	45,532	45,631	47,215	51,273	50,970	44,753	45,408	48,639	49,634	48,855	51,298	578,212
4150 Percentage Rent	54,599	49,565	50,577	53,315	50,055	53,148	50,468	50,832	53,577	50,125	54,082	54,933	625,276
4160 Misc. Income	17,090	18,047	18,515	18,171	16,424	17,700	17,916	16,652	16,634	18,807	16,482	17,680	210,117
4170 Payroll - Management	3,492	3,082	3,194	3,123	3,314	3,261	3,139	3,194	3,385	3,164	3,321	3,536	39,203
4180 Payroll - Leasing	5,046	5,326	5,333	5,412	5,387	5,110	4,934	5,147	4,959	5,051	5,304	4,823	61,833
4190 Payroll - Maintenance	3,120	2,911	2,899	3,125	3,075	3,108	2,884	2,974	3,145	3,173	3,164	2,996	36,573
4200 Payroll Taxes & Benefits	4,835	5,472	4,863	5,369	4,902	4,931	5,489	5,108	5,257	5,498	5,024	4,832	61,580
4210 Repairs - Plumbing	3,192	3,111	3,154	3,135	3,237	3,439	3,200	3,466	3,449	3,044	3,250	3,217	38,893
4220 Repairs - HVAC	1,009	1,082	1,039	1,032	1,051	1,034	1,069	1,071	997	1,030	1,052	1,003	12,469
4230 Repairs - Electrical	1,004	1,069	1,069	988	1,073	1,068	940	1,033	949	984	1,050	965	12,193
4240 Repairs - Appliances	5,058	5,030	4,979	4,780	5,240	5,177	4,938	5,142	5,090	5,196	4,870	4,877	60,377
4250 Painting & Decorating	1,841	1,673	1,819	1,737	1,867	1,730	1,898	1,660	1,805	1,831	1,782	1,815	21,460
4260 Flooring	4,231	4,339	4,140	4,388	4,061	4,291	4,318	4,015	4,247	4,340	4,243	4,389	51,000
4270 Make-Ready / Turnover	6,320	6,074	5,747	6,176	5,953	6,099	5,985	5,763	5,967	6,114	5,754	6,045	71,998
4280 Landscaping Contract	4,487	4,981	4,895	4,789	4,588	4,982	4,568	4,456	4,830	5,063	4,532	5,026	57,197
4290 Snow Removal	4,572	4,944	4,704	4,844	4,924	4,378	4,361	4,338	4,357	4,977	4,510	4,796	55,705
4300 Janitorial	3,312	3,377	3,223	3,382	3,616	3,279	3,288	3,456	3,391	3,316	3,433	3,214	40,288
4310 Pest Control	7,754	7,858	7,128	7,764	7,987	7,970	7,474	7,584	7,906	7,677	7,083	7,425	91,609
4320 Trash Removal	837	759	779	858	763	837	810	849	811	813	843	751	9,710
4330 Elevator Contract	4,149	4,356	4,222	4,460	4,191	4,624	4,342	4,584	4,389	4,353	4,555	4,484	52,711
4340 Fire & Life Safety	7,637	7,655	7,404	7,388	6,944	7,100	7,459	7,559	7,295	6,842	7,811	7,460	88,554
4350 Security	6,634	6,382	6,434	5,879	5,915	6,155	5,876	6,041	6,388	6,118	6,581	6,481	74,884

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Summary and Notes

Valuation Discussion

Operating expenses totaled $367,000 or approximately 43.30 per square foot, with real estate taxes representing the largest line item. The facility offers climate-controlled and drive-up units, a manager's office, keypad gate access and video surveillance. Debt service coverage ratio was 5.80x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.17% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Operating expenses totaled $277,000 or approximately 47.49 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.49x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. Physical occupancy is 89.8% and the average in-place rent is $156 per unit per month. Service requests are tracked through a work-order system with an average completion time of 28 hours.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 14 hours. Unit sizes range from 5x5 to 10x30 and the property is managed by an on-site team with online rental capability. Ancillary income includes tenant insurance, merchandise sales and truck rental commissions. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members.

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